Incidence of a tax is on its final resting place, i.e. those economic units which finally bear the money burden of tax, and which are not able to pass it to others. In case of income tax, it is the income recipient who has to bear the money burden of paying tax. In case of sales tax, tax is paid by seller but ultimately paid by consumer along with price. Here the seller acts as an intermediate between the government and consumer by collecting tax along with price. While the seller can pass the tax burden to the consumer, the consumer cannot. So the seller is the point of impact and consumer is point of incidence.

Effects of Tax

When a tax is imposed and collected, it elicits certain responses from tax payer which have influence on working hours, saving, investment, etc. Such responses and their results are called effects. For example, if heavy tax is imposed on spending, people will save more to avoid tax burden.

Methods of Taxation on Goods

1. Ad valorem

If tax is levied as a percentage of the value of the goods regardless of number of units produced/sold/imported, then it is called ad valorem e.g. 10% on the value of a car. Revenue increases with rise in price. Let us take an example. If price of the car is ₹2 lakh, the tax amount is ₹20000 and if the car price increase to ₹4 lakh, the tax amount is ₹40000.

2. Specific duty

If tax is levied at a flat rate per unit of goods produced/sold/imported regardless of the value then it is called specific duty. E.g. ₹2 per 1 kg of iron, ₹3 per 1 mtr of cloth. Revenue